1. INTRODUCTION TO DIGITAL MARKETING

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1. Marketing 6.0

- Marketing 1.0 - Product Centric
- Marketing 2.0 - Customer Centric
- Marketing 3.0 - Human Centric
- Marketing 4.0 - Traditional to Digital
- Marketing 5.0 - Technology for Humanity
- Marketing 6.0 – The Future is Immersive

Kotler, Kartajaya, & Setiawan. (2021). Marketing 5.0 & Marketing 6.0 (2024)

1.1. Marketing 1.0

- Product Centric
- Began in the US in the 1950s
- Main objective - to create the perfect products & services which produce the highest value in the minds of the customers
- Focus on Product development & life-cycle management - 4Ps (Product, Price, Place, & Promotion)
- Drawback - Companies often make customers consume what they do not need

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1.2. Marketing 2.0

- Customer Centric
- Movements between mid 1960s and mid 1970s
- No longer create perfect products for everyone
- Concepts of
  - Segmentation
  - Target group
  - Positioning
- Focus on customer relationship management approach
- Objective shifted from Customer satisfaction to Retention

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1.3. Marketing 3.0

- Human Centric
- Rise of Generation Y and the global financial crisis - late 2000s
- This generation believed that companies created products, services, and cultures that bring positive social and environmental impacts.
- Focus on ethical and socially responsible marketing practices

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1.4. Marketing 4.0

- Traditional to Digital
- The rise of mobile Internet, social media, and e-commerce changed the customer path to purchase.
- Marketers adapted to this change by communicating and delivering products and services through an omnichannel presence.
- Implement Marketing 4.0 - move from traditional to digital

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1.5. Marketing 5.0

- Technology for Humanity
- With the rise of Generation Z and Generation Alpha, it's time for marketing to evolve once more.
- Primary interests of these generations' are
  - Bring positive change to humanity and improve the quality of human lives.
  - Drive technology advancement further forward in all aspects of humanity.
- Thus, marketers need to continue to adopt the next technology to enhance human lives, the integration between Marketing 3.0 (human centricity) and Marketing 4.0 (technology enabler)

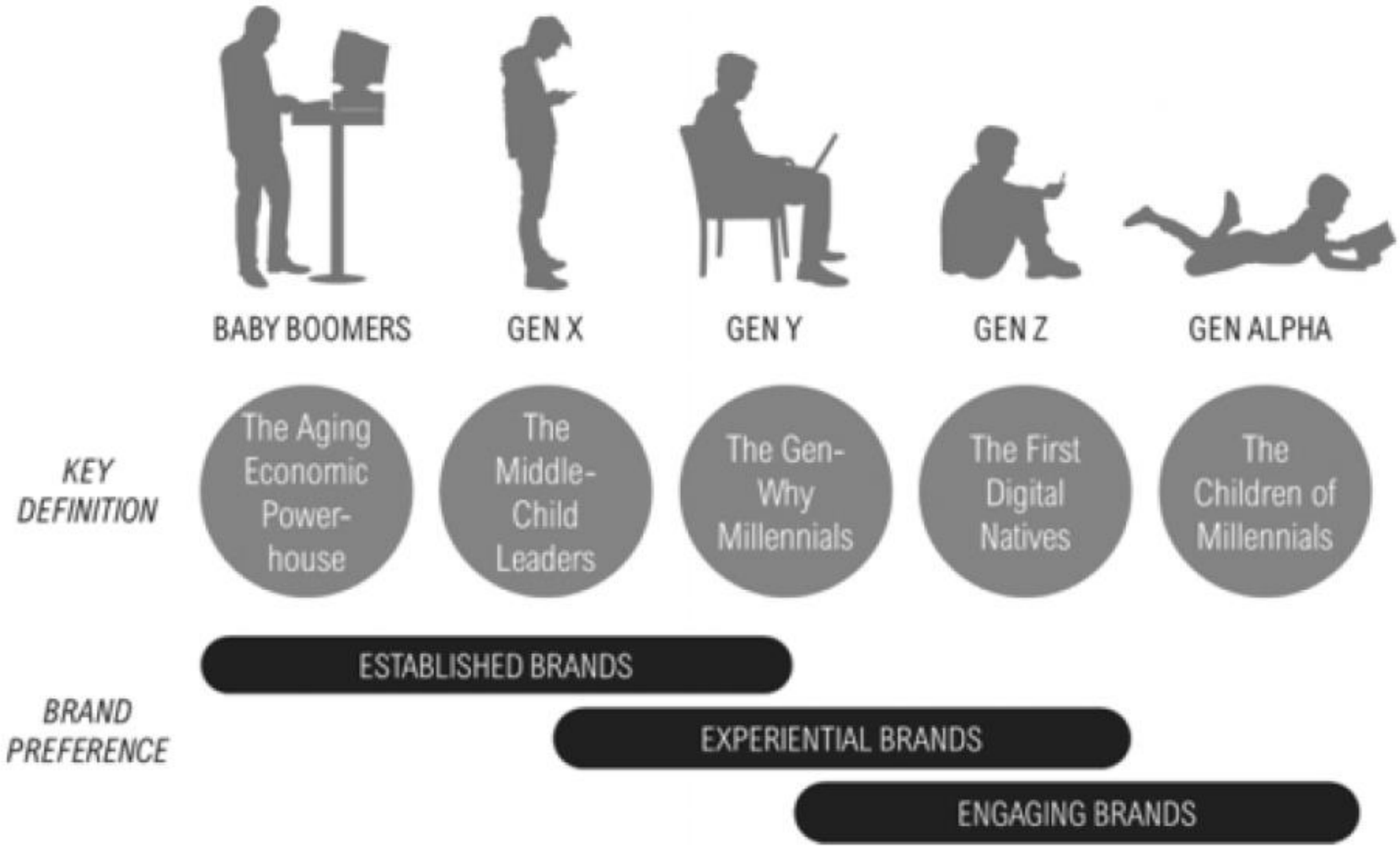
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1.6. Marketing 6.0

- Future is Immersive
- Mainly focus on Generation Z and Alpha as they are deeply depending on Digitalization.
- However, most customers still value some forms of human interactions.
    - Multichannel and Omnichannel marketing have become popular aiming to leverage both traditional and digital engagement.
    - Metamarketing goes beyond that and offers a genuine physical and digital coverage by providing a more interactive and immersive customer experience across physical and digital spaces.

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1.7. Generation Gap



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1.7. GENERATION GAP & MARKETING 6.0

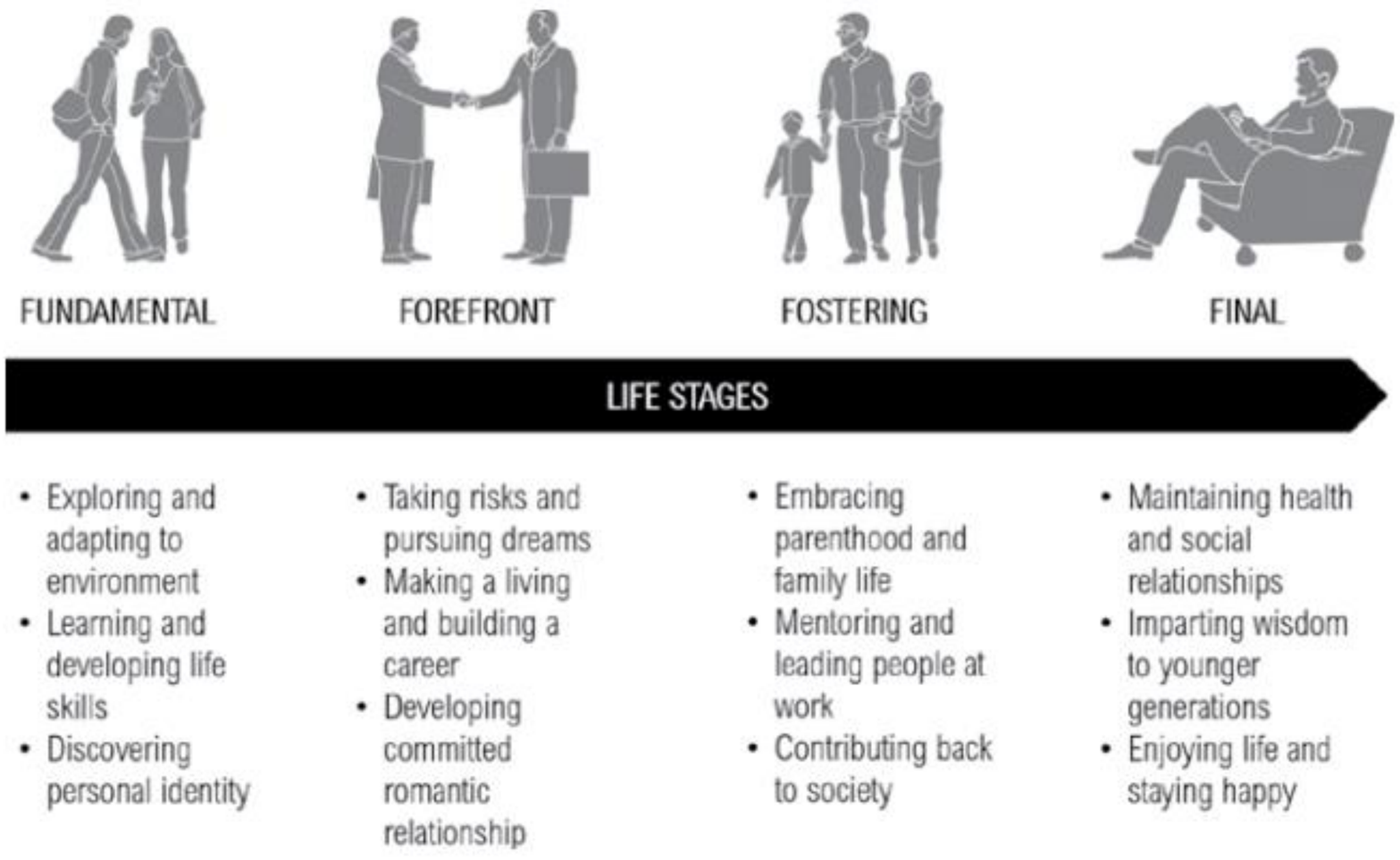


FIGURE 2.2 Human Life Stages and Key Priorities

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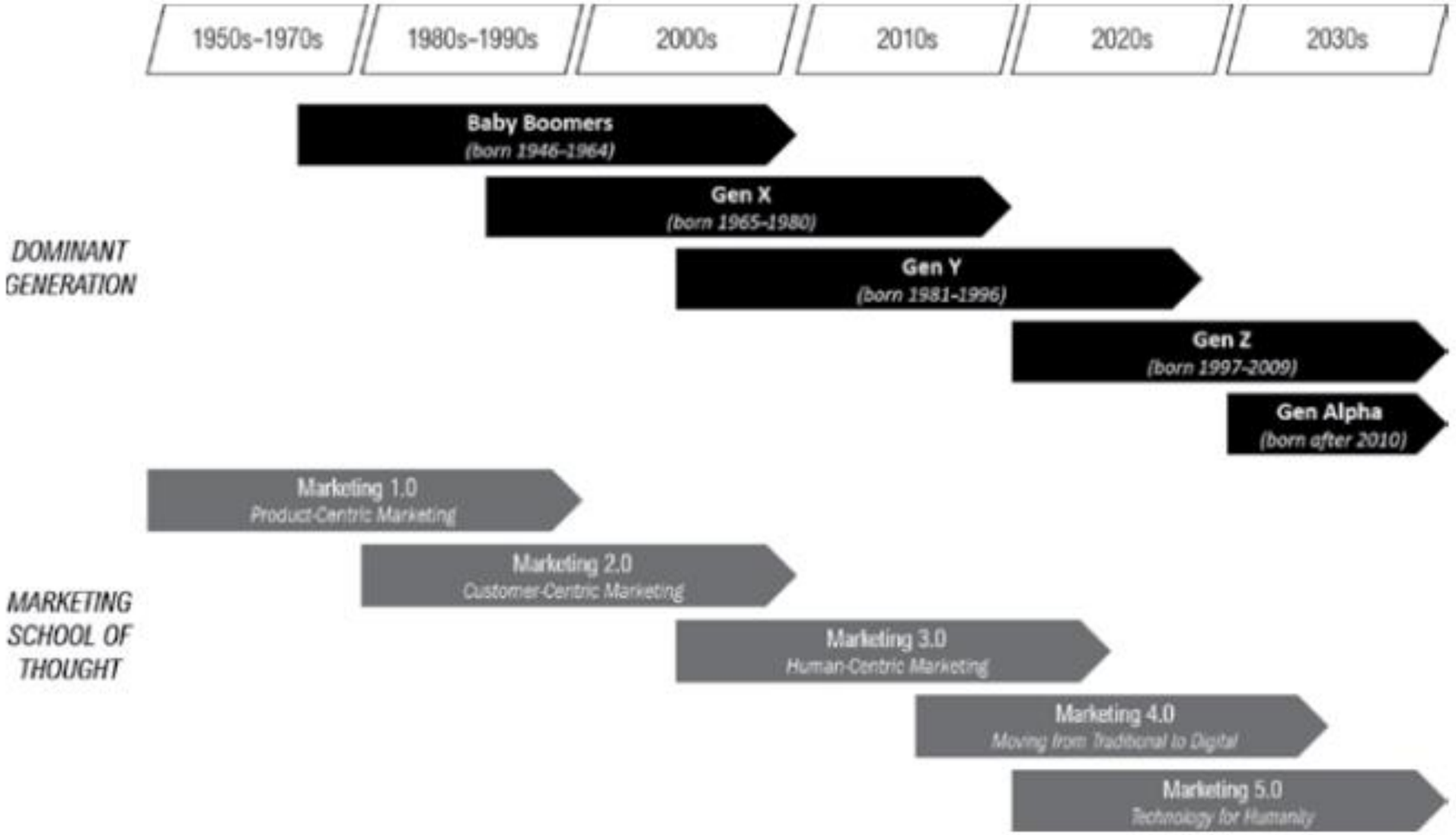


FIGURE 2.3 The Five Generations and Marketing Evolution

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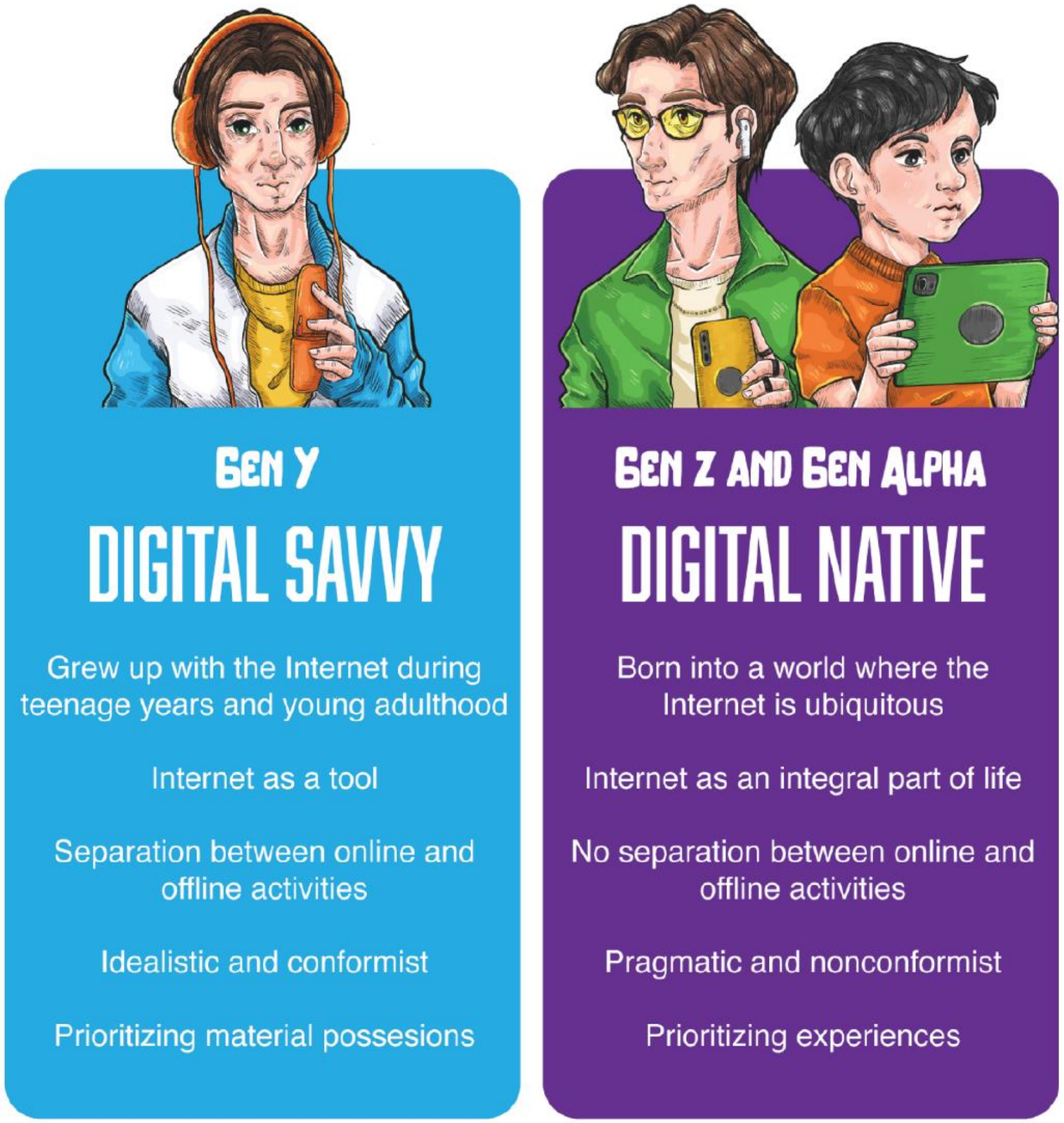
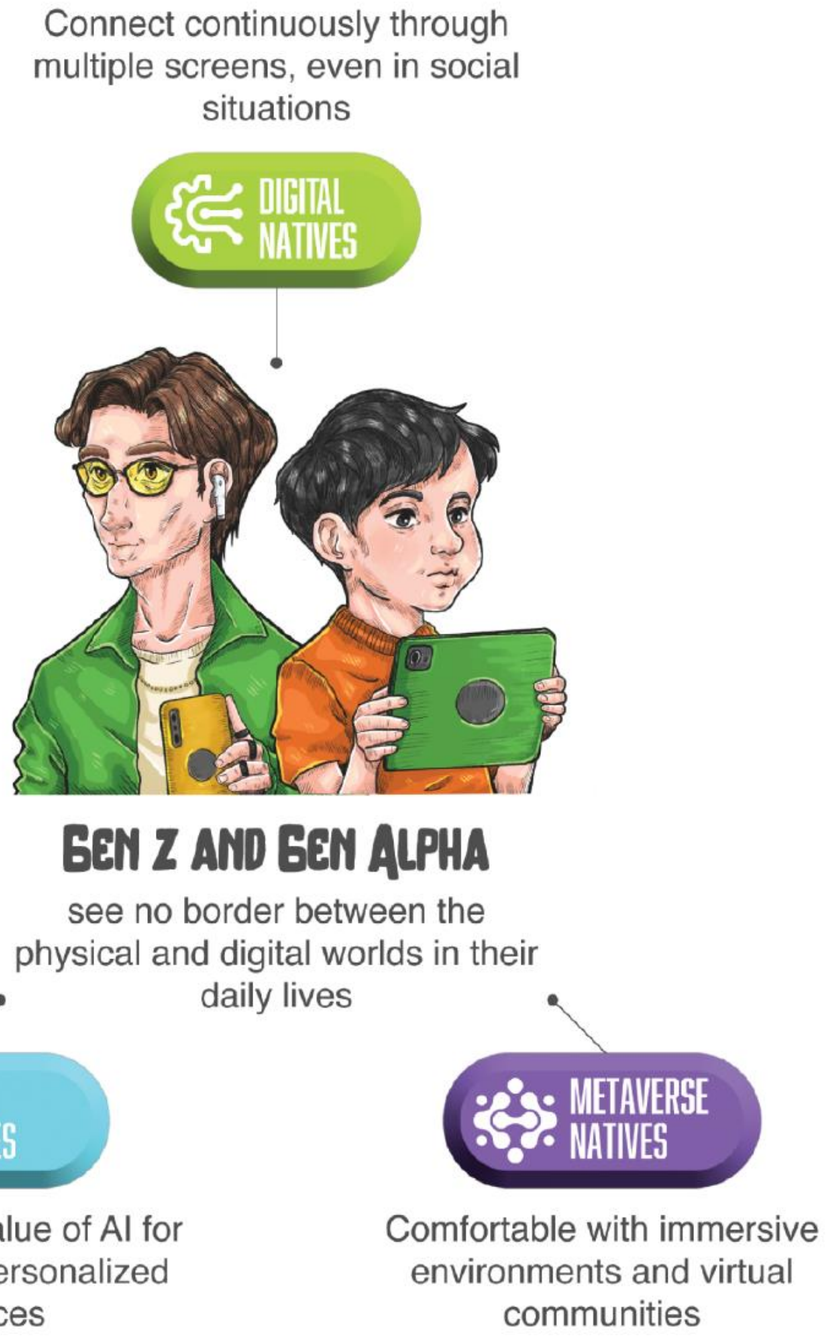


FIGURE 2.1 The Generational Difference.

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THE UNIQUENESS OF GEN Z AND GEN ALPHA

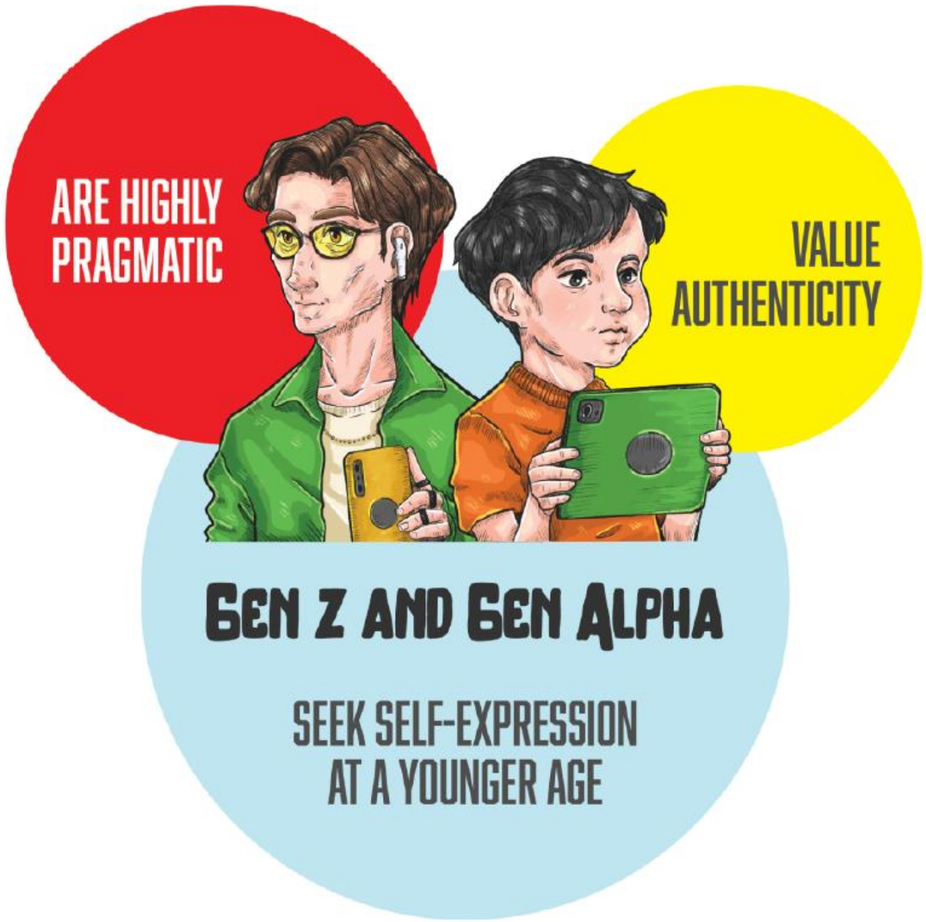


FIGURE 2.3 The Characteristics of Phygital Natives.

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1.8. The Uniqueness of Gen Z & Alpha

- They are interested in learning about personal finance, saving money and investing for the future.
- They tend to prioritize job security over pursuing their dream job or high salaries.
- Evaluating products and services from online and offline sources – focusing on price and quality rather than solely relying on brand names. In term of value, they put more weight on functional benefits than emotional benefits.
- Spend more on experiences such as traveling, gaming, wellness activities, live events and concerts and community engagements.
- More likely to support brands that demonstrates environmental responsibility and ethical practices.

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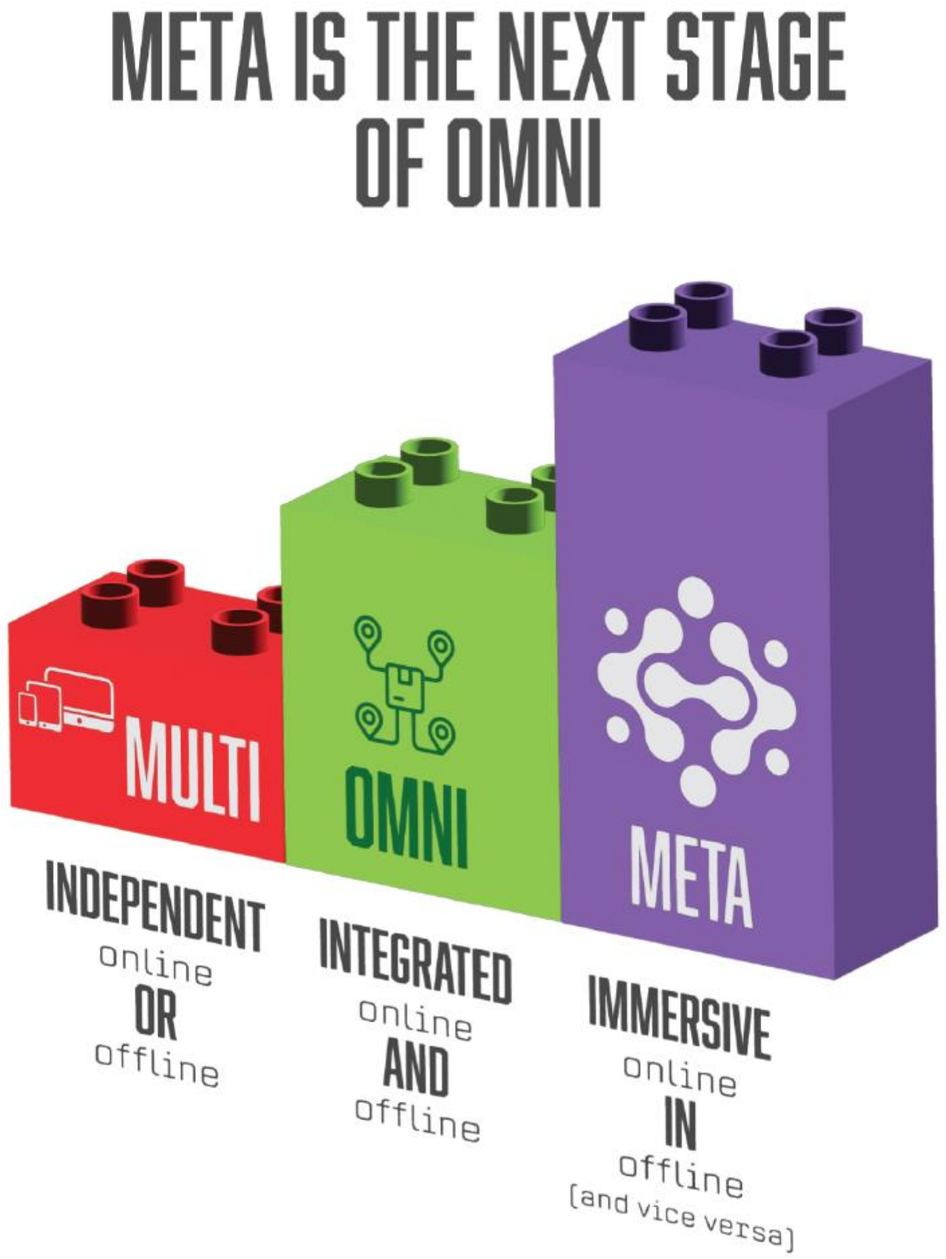


FIGURE 1.2 The Traditional and Digital Marketing Convergence.

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1.9. The Building Blocks of Marketing 6.0

- First layer – Foundation – technological enabler that blend physical and digital experience. These technologies provide the groundwork for the second layer.
- Second layer – two distinct environments; extended realities and metaverse.
  - Extended realities – digitally augmented physical spaces
  - Metaverse – virtual worlds that offer experiences closely resembling real life.
- Last and top layer – Customer facing experiences, characterized by multisensory engagement (involving all five senses), spatial (3D) digital experiences, and marketing within metaverse (virtual worlds)

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FIGURE 1.3 The Building Blocks of Marketing 6.0.

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1.10. The Three Layers of Metamarketing

1. **The Enable Layers**
   i. **The Internet of Thing (IoT)–** Sensors that can capture real-time data from the physical environment and transform it into valuable digital information for marketers. For example, IoT technology can detect customers' movements in retail stores. This enablers retailers to deliver in-app promotion notifications instantly, triggered by shoppers as they stroll down specific store aisles. By leveraging IoT, businesses can enhance their marketing strategies by utilizing timely and location-based customer engagement.

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1.10. The Three Layers of Metamarketing

ii. **Artificial Intelligence (AI)–** The ability of computers to replicate human cognitive skills. This technology empowers marketers to deliver personalized one-to-one marketing strategies. The remarkable advantage of AI lies in its real-time capabilities, constantly capturing data from IoT sources to learn about customers' preferences and behaviours, enabling marketers to instantly offer the most relevant products or content tailored to each individual's needs.

iii. **Spatial Computing** – involves a set of technologies that facilitate digital interaction in physical space. Its application in retail stores, such as implementing smart fitting room, enhance the shopping experience by offering customers interactivity and immersion. These smart fitting rooms can instantly identify the clothing items customers bring in, provide personalized styling recommendations, and enable virtual try-on. Spatial computing is pivotal in allowing this unique fusion of digital and physical experiences.

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1.10. The Three Layers of Metamarketing

iv. AR and VR– revolutionizing how we engage with digital content. For example with AR customers can try on shoes virtually to see how they would look on their feet. On the other hand, VR is utilized for practical training purposes, such as training customer service representatives through hands-on simulations and scenarios.







- 3 dimensions - AR, VR, & MR
- AR - interactive digital content overlays the user view of the real-world environments, eg Pokemon Go
- VR - reverse of AR, bringing digital objects to the real world.
- MR - mixed both digital and real world, virtual tours.
- https://www.youtube.com/watch?v=WIWVxLqOfF0

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1.10. The Three Layers of Metamarketing

v. **Blockchain–** a groundbreaking technology that paves the way for a decentralized Internet. It empowers content creators to have ownership over the content they produce, eliminating the reliance on centralized social media platforms. This technology serves as the foundation for community-driven metaverse, where content and governance are owned and controlled by a community of users. With blockchain, metaverses can establish robust economies, complete with their own currency and commerce systems for seamless virtual goods transactions.

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1.10. The Three Layers of Metamarketing

2. The Environment Layer

i. The marketing 6.0 revolves around creating immersive environments in both the physical and digital realms. While physical spaces will continue to be the primary avenue for delivering customer experiences, businesses must reimagine these spaces by incorporating digital experiences to ensure their future relevance – Extended Realities.

- Streamline transactions and provide quick , seamless checkouts similar to e-commerce sites,
- These technologies enable more personalized engagements through interactive displays.
- Marketers can engage shoppers with multiple screens displaying customized recommendations and interactive touchscreen capabilities.
- Using Mobile apps or scanning QR Code equipped with in-store products.

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1.10. The Three Layers of Metamarketing

ii. Metaverse – fully functional virtual worlds that bear similarities to the real world.

- Avatars represent individuals, and virtual assets resemble physical objects within these virtual environments.
- The metaverse is considered the latest form of social media, attracting the attention and engagement of Generation Z and Generation Alpha.

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1.10. The Three Layers of Metamarketing

3. The Experience Layer
   i. Blending the digital and multisensory experience is crucial, particularly when digital fatigue sets in as customers spend hours interacting with digital devices and receiving vast amounts of content daily.
   ii. Spatial marketing experience – revolutionizing how businesses interact with customers by seamlessly integrating physical objects with human behaviour.
      - Imagine a retail store where video ads paly as you walk by or a restaurant where the lighting and ambiance change based on the time of day.
      - Amazon has a leader in implementing this type of customer experience, allowing customers to enter the store, pick up the items they want, and leave without having to check out or interact with the cashiers. Instead, the customers are charged and paid with Amazon account automatically.

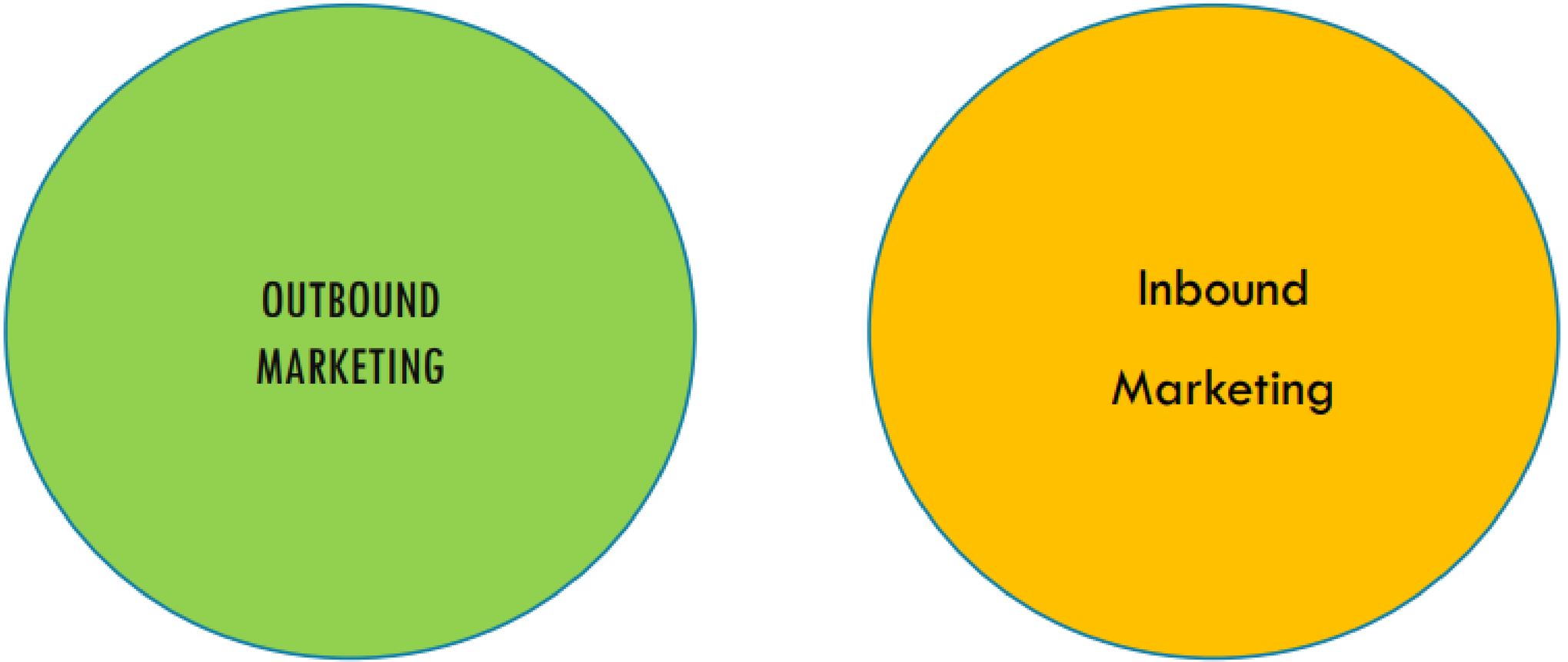
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1.10. The Three Layers of Metamarketing

3. The Experience Layer
   iii. Metaverse Marketing Experience – metaverse exist primarily as gaming or entertainment platforms, leading many brands to explore in game advertising in their overall media strategy.
      - Global brands such as Nike, Coca-Cola, and Samsung are early adopters, offering digital collectible and digital engagement in currently available metaverse.
      - Marketing in Metaverse might seem implausible for most older generations, but it feels second nature for Generation Z and Alpha, born and raised when boundary between traditional and digital realms has dissolved.

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2. Principle of Digital Marketing



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2.1. Outbound Marketing

- Outbound marketing begins with the brand advertiser pushing out a message to a specified target audience with the objective being to drive awareness of a product or service.
- This is done by rapidly spreading word of the campaign product or service to the target audience using, for example, visual display banner and video formats multiple times to ensure people remember the product.

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2.2. Inbound Marketing

- Inbound marketing is the exact opposite to outbound marketing; it’s almost like reverse marketing.
- Inbound marketing involves trying to pull your audience towards your content, brand, or service.
- It is about attracting those people who are already interested in your product or service so that they seek you out and engage.

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3. Types of Media

- Digital marketing comprises, among other things, three different media channels: owned, paid, and earned.

1. Owned media is the media that you create and manage.
2. Paid media is media or advertising that you have paid for to drive banner and video visibility, or clicks and traffic, to your product, website, or service.
3. Earned media is free publicity generated by consumers, PR, influencers, and people who speak about and share content related to your brand or product.

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3.1. Owned Media

- **Owned media incorporates a company's own**

1. Content
2. Packaging
3. Point-of-sale
4. People who come into contact with customers

- **Benefits of owned media**

1. Cost efficiency
2. Flexibility
3. Longevity
4. Power of developing a go-to platform

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3.1. Owned Media

- **Challenges of owned media**

1. Building a reputation
2. Building trust

- **Some key questions you should ask when considering owned media are**

1. What am I going to talk about?
2. What do I want people to see?
3. What type of message do I want to get across to my audience?

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3.2. Paid Media

- Paid media comprises any form of media designed to promote your brand or content on the internet for a fee.
- Examples of this include social media advertising, paid search, display adverts, or paid influencers.

Outbound	Inbound
• Build awareness	• Drive sales
• Generate familiarity	• Drive conversions

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3.3. Earned Media

- A piece of created content that people are engaging with and actively sharing with their friends because they view it as important, relevant, interesting, or even funny.
- Earned media comprises shares, reviews, mentions, and reposts; anything that allows your content to appear on people's social media timelines, for example.

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3.3. Earned Media

- **Benefits of earned media**

1. Creates credibility
2. Organic
3. Trends to live longer than paid or owned media

- **Challenges of earned media**

1. Can become difficult to control its direction
2. Can adopt unintended negative meanings
3. Can be difficult to understand how effective it is

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4. Traditional Vs Digital Marketing

- **Traditional Marketing Channels**

1. Direct Marketing
2. Outdoor/Print
3. Broadcast
4. Referral

- **Characteristics of Traditional and Digital Marketing**

Traditional Marketing	Digital Marketing
Mass or Individual Media	Passive or Active Audience
One-to-one or One-to-many	Outbound or Inbound

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4. Traditional Vs Digital Marketing

Features	Traditional Marketing	Digital Marketing
The way media is consumed by an audience	Mass Audience	Individual Audience
The level of investment committed to the medium consumed by an audience	Passive Audience	Active Audience
The development of a message to a broader or niche audience	Many	One-to-one
The strategy of acquiring audience attention via push or pull content tactics	Outbound	Inbound

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5. Digital Channels

1. **Email and automation marketing** – are used for conversion and loyalty, which aim to reach to the customer at the right time to lead them to a conversion destination. Common email objectives include raising interest, converting sales and retaining customers by providing additional value to the brand and product.
2. **Pay-per-click advertising (PPC)** – help you get high value traffic and clicks from an interest audience. As the audience is actively searching for keyword related to their issue, using paid search helps to bring you the list when customers are searching and ready to buy or take action.

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5. Digital Channels

3. **Organic Search (SEO)** – it leads to discovery, awareness, interest, and conversion without paid effort. SEO makes your content visible to the audience and easily searchable on Google and other search engines without the need to pay for clicks.

4. **Website Optimization** – can create an environment where visitors can engage with your brand content and easily take valuable actions on your site such as buying a product or contacting your team with minimal fuss. Optimizing speed, navigation, responsiveness, content and conversion processes will help drive more of those valuable actions and lead to better performance.

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5. Digital Channels

5. **Display Advertising** - Online display ads show to the highly relevant audience, which drives higher awareness and consideration as well as traffic. They can target audience interest, age, gender, community, keywords, and more.

6. **Social Media Marketing** – primary channels for creating awareness and interest through content and social engagement. Social channels are also important channels in the Retention stage of the buyer's journey as the primary platform for customer to get information and updates from the company.

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5. Digital Channels

7. **Content Marketing** – key to the inbound strategy. Well-developed and targeted content increases brand personality and likability.

- Through content, consumers discover your ***brand values, experience, learn more about the product and how it solves the audiences' problems.***
- Content strategy impacts all stages of the buyer's journey and it is ***the final destination for a lot of marketing tactics.***
- Content is also key in going viral and creating word of mouth as users will share content that is impactful and humorous or that surprises them.

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6. The Polarized Society

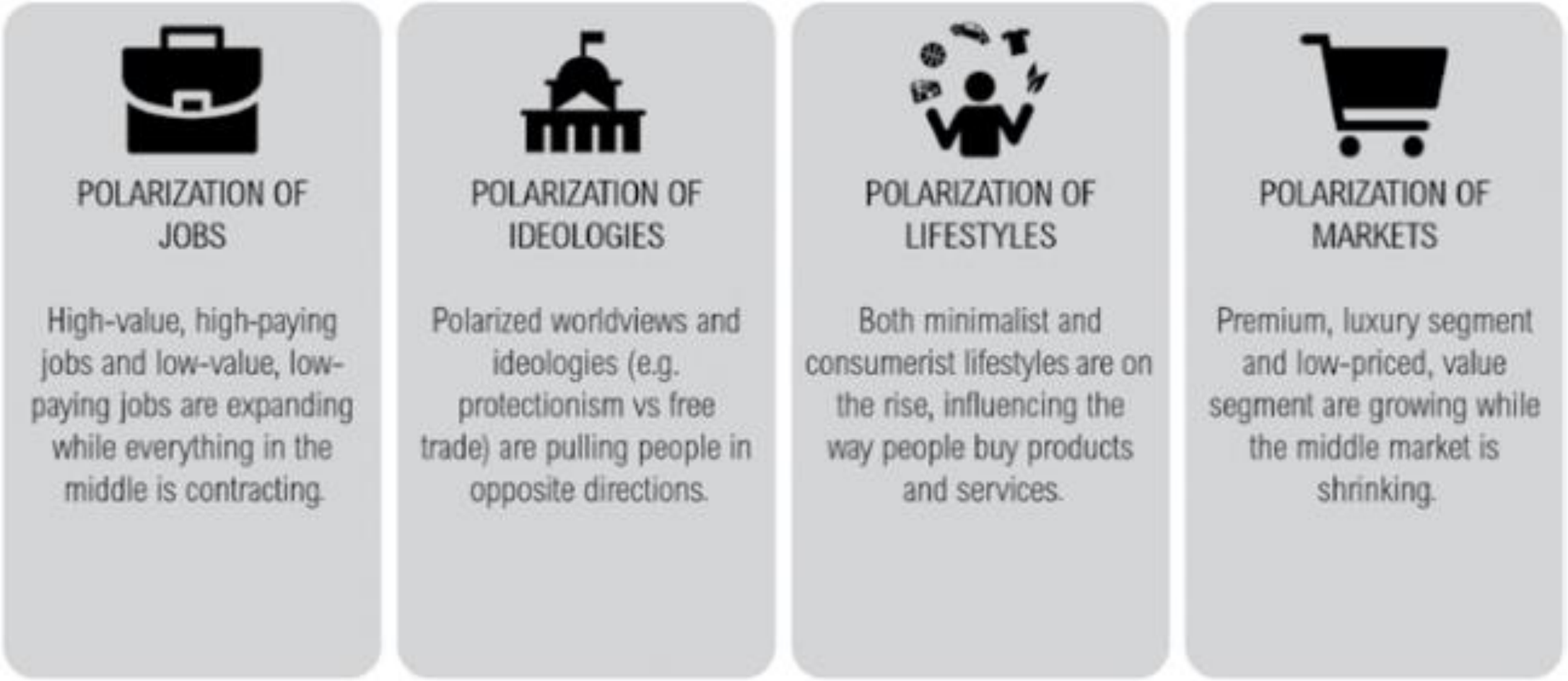


FIGURE 3.1 The Polarizing Society

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6.1. Polarization of Jobs

- One of the primary factors causing wealth disparity- the diverging opportunity to capture wealth.
  - The top have more power to determine or negotiate the pay level
- Another factor- abilities and skills to capture wealth
  - Only talent with in-demand skills- both in white-collar and blue collar occupations- have higher chance to getting employment.
  - Those occupations include alternative energy, IT, healthcare, and data analysis.
- Both globalization and digitalization make the job polarization even worse for developed countries- only increasing the demands for high-tech occupations.

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6.2. Polarization of Ideologies

- It is believed that Globalization hurts as many countries as it helps.
    - Debates of opening up the borderless world- more values Vs protectionism
- As a result, some action plans and strategies are created to eliminate this polarization
    - Strategies to combat climate change and regulate healthcare cost
    - The economy and policy against terrorism, and so forth.

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6.3. Polarization of Lifestyles

- The minimalist movement is becoming more popular.
  - Living with less stuff lowers stress, release burdens, and gives more freedom to pursue what truly matters.
- Financial hardships brought by the Covid-19 pandemic and unemployment affect the purchasing power.
- However, some still desire to show off lavish lifestyles
- Using social media as a benchmark tool, the "fear of missing out" (FOMO) and "you only live once" (YOLO) will haunt customers the influence their buying decisions.
- People at both ends of the spectrum believe that their lifestyles bring them happiness.

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6.4. Polarization of Markets

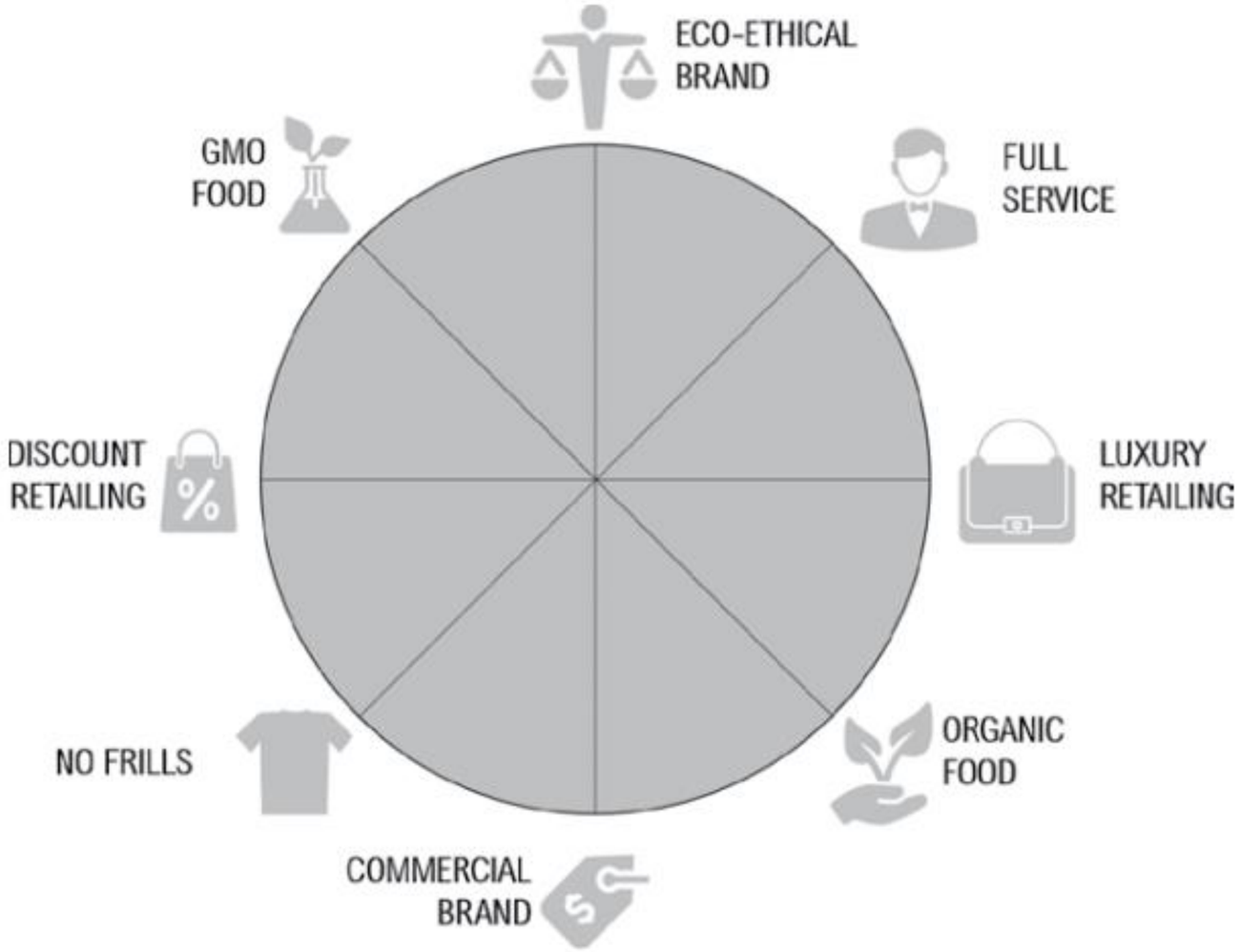


FIGURE 3.2 Market Polarization Across Categories

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7. Why Inclusivity and Sustainability Matter?



FIGURE 3.3 The Reasons Behind Corporate Activism

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7.1. The Sustainable Growth Imperative

- Economists have predicted that global economic growth will continue to slow down in the next decade.
- Hence, to be sustainable, growth plans must include a key element of societal development.
- From the future growth point of view, the social activism that businesses conduct will prove a good investment.
    - When billions of underserved people are out of poverty, become more educated, and earn a better income, the markets around the world substantially growth.
- The costs and risks of doing business are much lower.

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7.2. The New Hygiene Factor

- Marketing 3.0 or human centricity become main stream
  - Companies focus on social and environmental impact and use it as a major source of innovation
  - Promoting a health-conscious lifestyle, minimizing carbon footprint, conducting fair trade, and so forth.
- This becomes a hygiene factor that without broader vision, missions and values, customers will overlook those companies.
- The "Stop Hate for Profit" campaign in Microsoft, Starbucks, Pfizer, and other companies.
- Businesses are considered responsible for growing not only short-term shareholder value but also long-term societal value.

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7.3. The Push from Within

- Generation Z starts to come into the workforce
- Diversity, inclusion, and equal opportunity in the workplace have become a must-have in a war for talent, significantly influencing the recruitment, remuneration, and people-development practices- indeed improving productivity and financial performance through a healthier culture, better creativity, and a richer perspective.
- Corporate values are more important - storytelling

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UNDP. (2016). Sustainable Development Goals.



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